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Recycling with the Best

Weekly Ship Recycling Report

27 April 2024 - 03 May 2024

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Highlights of the week

India's ship recycling market is improving, driven by robust local demand anticipated to maintain favorable conditions this month. Bangladesh's market is stable but slightly declining. Challenges include sluggish demand from steel mills and LC issues from USD shortages, while an influx of Chinese-built vessels has impacted buyer confidence. Pakistan's market remains unchanged with no new vessel entries and persistent slow activity, though steady recycling rates persist despite diminished construction sector demand, suggesting possible future price drops. In Turkiye, steel prices are stable, yet ship recycling yards are offering higher prices for immediate vessel delivery due to strong demand.

Oil prices have reached a two-month low, notably impacting WTI and Brent crude due to increased supply, lower demand, and negative economic indicators, signaling an extended bearish phase. Contributing factors include a surprise rise in U.S. crude inventories and persistent economic pressures such as high interest rates, which bolster the dollar and reduce oil affordability internationally. These conditions suppress consumer spending and business investment, further curtailing oil demand.

The Organization for Economic Co-operation and Development (OECD) has raised its global economic forecast, driven by robust growth in the United States and China. The global economy is projected to expand by 3.1% this year and 3.2% in 2025. However, recovery rates vary significantly, with weaker performance in Europe and most low-income countries, contrasted by strong growth in the U.S. and several large emerging markets.

Exchange Rates:

USD / INR ₹

This Week	: 83.42
Previous Week	: 83.39
Lost	: 0.06

USD / BDT ৳

This Week	: 109.60
Previous Week	: 109.76
Gained	: 0.16

USD / PKR Rs

This Week	: 278.20
Previous Week	: 278.38
Gained	: 0.18

USD / TRY ₺

This Week	: 32.36
Previous Week	: 32.47
Gained	: 0.11

India

Market demonstrates strong upward trajectory driven by robust local demand.

- The market has shown significant improvement and is currently on an upward trajectory.
- Trends suggest that the market conditions will remain favorable at least through the end of this month.
- This upward movement is primarily driven by robust local demand, supporting stronger market performance.
- India's steel exports to Europe reached a five-year high of 3.3 million tonnes in FY24, a 65% increase from the previous year. However, India's market share declined in the UAE and Southeast Asia, with exports to the UAE at a five-year low. Increased competition from Chinese exports has impacted Indian steel mills' performance in the UAE and Vietnam.

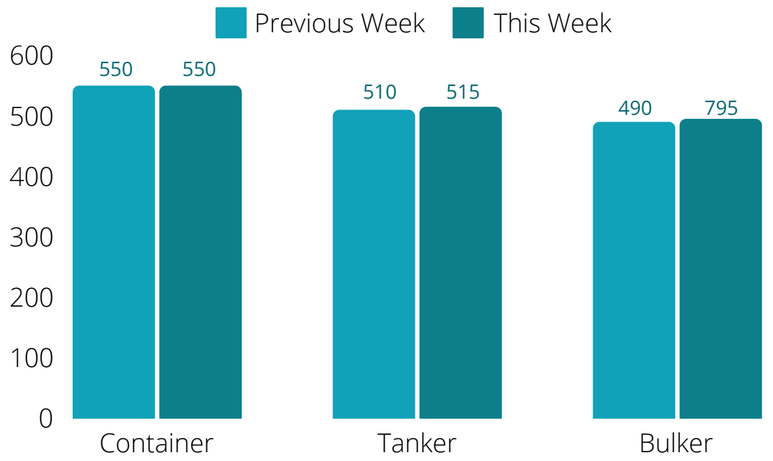
Beaching Dates

05 May to 13 May 2024

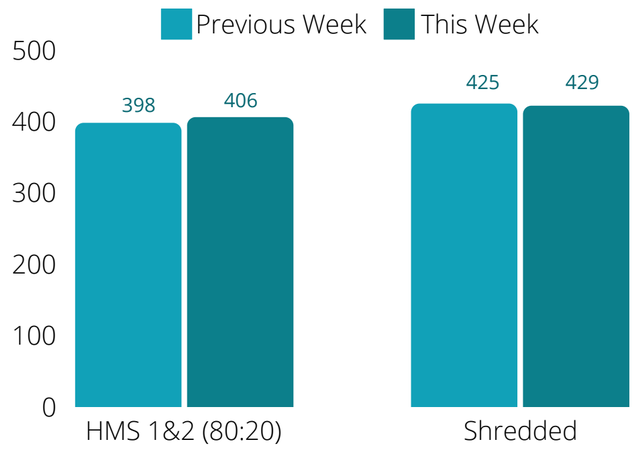
21 May to 29 May 2024

03 June to 11 June 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

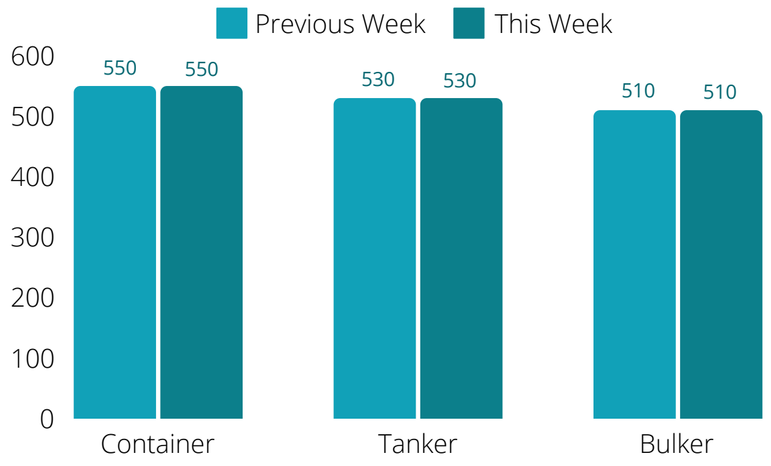
The market demonstrated stability with underlying downward trends and buyer caution.

- The market remains largely stable, though it exhibits a slight downward trend contrary to expectations of a marginal rise.
- Recent transactions at higher rates in the ship recycling industry do not reflect broader market trends but were instead influenced by specific recyclers needing to increase their inventory, amidst sellers demanding notably high rates.
- There is sluggish demand from local steel mills, which is impacting overall market momentum.
- Persistent issues with LCs due to a shortage of foreign exchange reserves, specifically in USD, impacting financial transactions.
- A significant influx of Chinese-built vessels in the market. Lower confidence among buyers towards Chinese-built vessels, affecting purchasing decisions.

Beaching Dates

07 May to 10 May 2024
22 May to 25 May 2024
05 June to 08 June 2024

Price for Recycling Ships in Bangladesh



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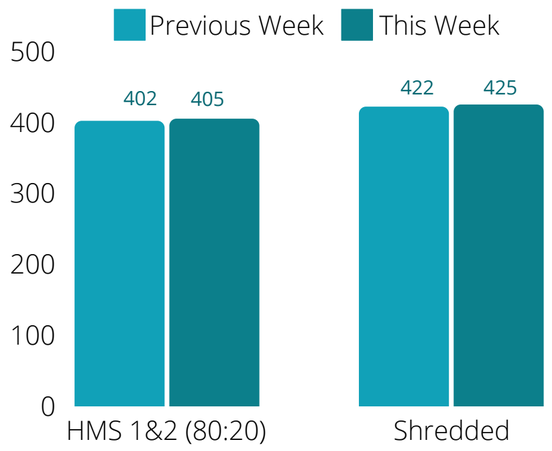
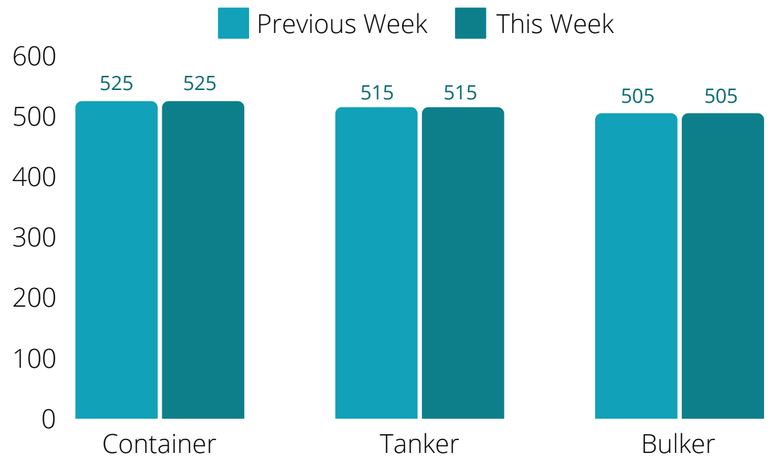


Pakistan

Stagnant market faces potential price drop amid steady rates and reduced demand.

- The market has remained unchanged from previous weeks, with activity continuing at a very slow pace. There have been no new vessels entering the market, contributing to the stagnant conditions.
- Given the current trends, there is an expectation that prices might decrease in the near future.
- Despite these challenges, the recycling rates have remained steady, as there have been no significant shifts in currency value or overall demand.
- A contributing factor to the market's sluggishness is a reduced demand, particularly from the construction sector, which has impacted the industry's momentum.

Price for Recycling Ships in Pakistan



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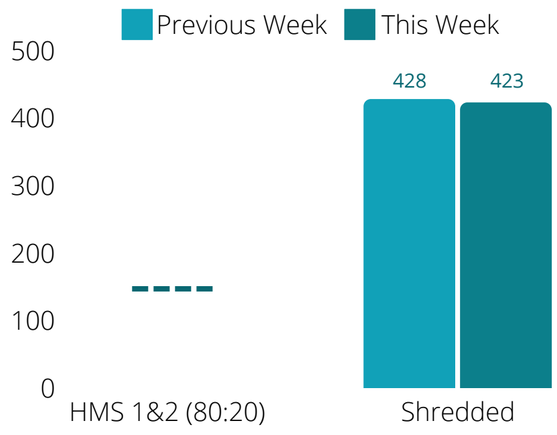


Beaching Dates

Throughout the month

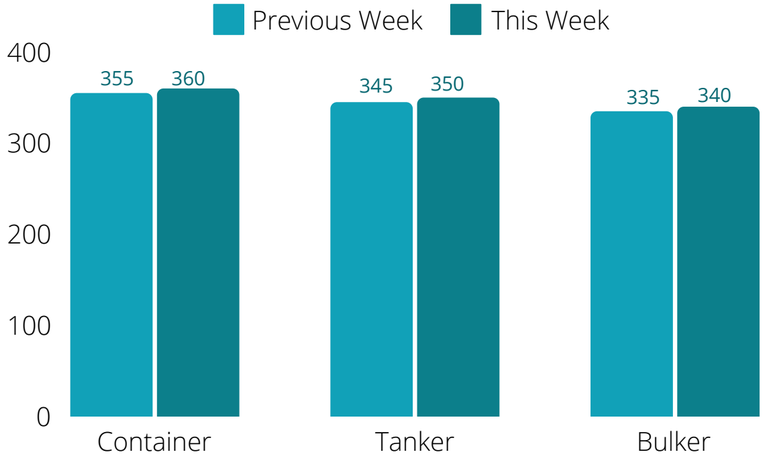
Türkiye

Stable steel prices and higher offers for prompt delivery sustain favorable market conditions.

- Steel prices are currently stable; however, there has been a noticeable trend where ship recycling yards are offering higher prices for vessels available for prompt delivery.

- In April, Turkey's annual inflation rate surged to 69.8%, with consumer prices rising by 3.18% from the previous month. Despite this significant increase, the inflation figure was somewhat lower than many analysts had anticipated. However, the possibility of interest rate reductions remains distant.

Price for Recycling Ships in Türkiye



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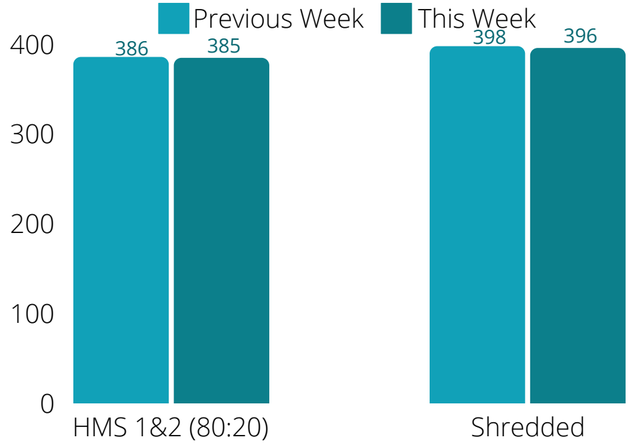
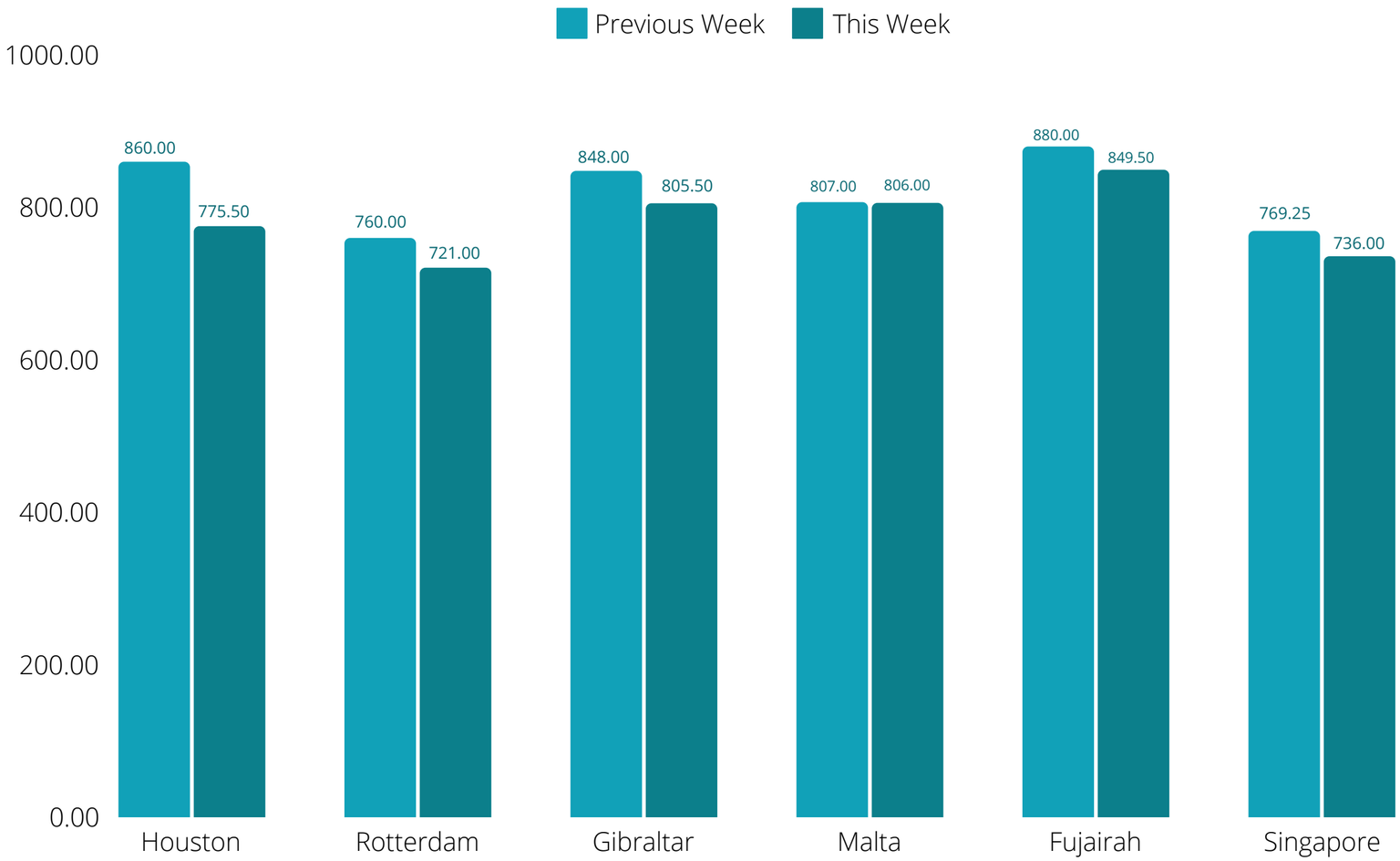


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 83.56
Previous Week	: 89.46
Movement	: - 5.9

WTI Crude

This Week	: 78.72
Previous Week	: 84.04
Movement	: - 5.32

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
PROFESSOR B	GENERAL CARGO	8401523	1984	GERMANY	5,120	DELIVERED	ALANG / GADANI	UNDISCLOSED
THARERATANA 1	PRODUCTS TANKER	9016832	1990	JAPAN	739	DELIVERED	CHITTAGONG,BANGLADESH	520
GUO DIAN 6	BULKER	9061875	1993	JAPAN	9,637	DELIVERED	CHITTAGONG,BANGLADESH	330
KALELI ANA	GENERAL CARGO	7429322	1976	JAPAN	1,700	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
JI YUAN	CONTAINER	9037214	1994	ROMANIA	4,476	AS-IS	SINGAPORE	UNDISCLOSED
VIVA 106	REEFER	8122385	1982	JAPAN	2,188	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
SAWASDEE SINGAPORE	CONTAINER	9081021	1995	GERMANY	7,098	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
HANJI 2	PLATFORM SUPPLY SHIP	9086215	1985	NORWAY	2,212	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
DARK KNIGHT	AHTS	9172284	1998	NORWAY	2,606	DELIVERED	ALANG, INDIA	UNDISCLOSED

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